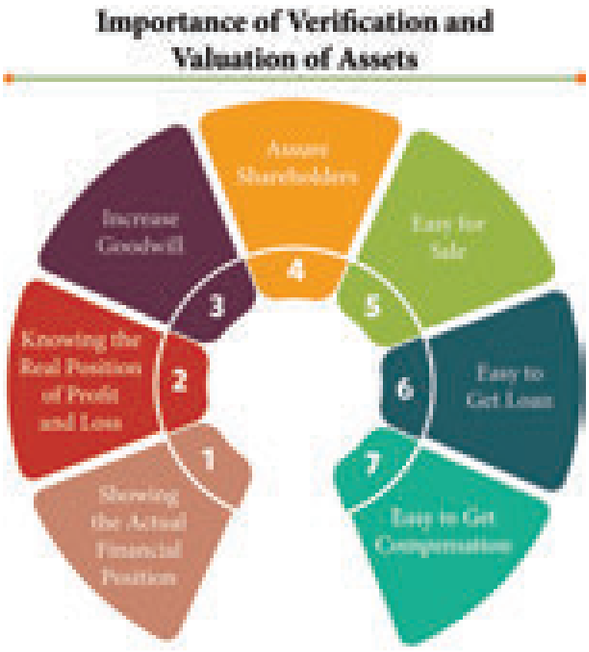


valuation of assets is very important for business and their importance is highlighted below.

1. **Showing the Actual Financial Position**

   Balance Sheet is prepared to show the actual financial position of a business. If proper valuation is not made, such Balance Sheet does not provide true and fair information. So, to provide information about the real financial position, verification and valuation of assets are essential.

2. **Ascertaining the Real Position of Profit or Loss:**

   Depreciation and other expenses on assets will be incorrect if proper valuation of assets is not made. So, to calculate the actual amount of profit or loss, proper valuation of assets and liabilities is necessary.

3. **Increase Goodwill**

   Proper valuation gives fair information about profitability and financial position of a business. So, people can get information which creates positive attitude towards company. The positive attitude of public can increase the goodwill of the concern.

4. **Assures Safe Investment to Shareholders**

   Verification and valuation provide actual information about assets and liabilities to the shareholders which assure safety of their investment.

5. **Easy for Sale**

   At the time of sale of the company, it can be sold at the price which is enlisted in the Balance Sheet, but the assets whose valuation is not made need valuation before selling the company.

6. **Easy to Get Loan**

   Companies disclose the Balance Sheet signed / examined by auditor for public knowledge which increases the trust on the company. Hence, companies can easily obtain loan from financial Institutions.

7. **Easy to Get Compensation**

   Whenever the loss occurs due to any incident, insurance company provides compensation on the basis of valuation of assets. So, the company can easily get compensation.

4.2.7 Differences Between Verification and Valuation

Verification and valuation are interlinked and interdependent. It is a combined process by which the position of different assets appearing in the Balance Sheet is examined. However, the following are the differences between the two terms.

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